MAHATMA GANDHI UNIVERSITY ,KOTTAYAM

MGU-UGP (HONOURS)

(2024 ADMISSION ONWARDS)

FIRST SEMESTERMODEL QUESTION PAPER

MG1DSCCOM100 -BASIC FINANCE FOR DAILY LIFE

Duration :1 hour Maximum Marks :70

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A- Multiple Choice Questions

Answer any **Twenty** questions.- Each question carries **1** mark.

1	Financial attitude refers to _____ a) One's perspective on spending, saving and investing b) One's ability to plan c) One's interest in reporting d) One's skill in communication	U	3	
2	Which of the following is a broader term that includes coins,coins,cheques,banksnotes,fixed deposit receipts and digital wallets? a) Currency b) Money c) Finance d) Savings	U	1	
3	Behavioural finance studies : a) Government Expenditure b) Household budgeting c) Investor emotions and behaviour d) Corporate tax planning	U	3	
4	Which of the following is NOT a category in Needs, Wants and Vices? a) Food and Water b) Shelter c) Gadgets d) Investments	U	1	
5	What is the primary benefit of having health insurance? a) Reduces life expectancy b) Increases medical costs c) Provides financial protection against high medical costs d) Limits access to healthcare	U	5	
6	. The process of ensuring timely and adequate credit for vulnerable groups at an affordable cost is called : a) Financial Education b) Financial inclusion c) Financial Literacy d) Financial Exclusion	U	1	

7	Which of the following is NOT a part of financial literacy as defined by OECD? a) Financial awareness b) Financial skills c) Financial dependence d) Financial behaviour.	U	1	
8	Which of the following is an example of discretionary spending? a) Rent b) Groceries c) Entertainment d) Medicine	U	1	
9	Priya learns about market risk and credit risk. Which type of financial knowledge is she gaining? a) conceptual b) Procedural c) Applied d) Theoretical	An	3	
10	What does understanding the time value of money help in calculating? a) Present value b) Future value c) Both present and future values d) None of the above	U	2	
11	Which of the following is NOT a socializing agency for financial socialization? a) Parents b) Schools c) Advertisements d) Video games	U	1	
12	A person who budgets their expenses regularly displays what type of financial behavior? a) Risk-taking b) Impulsive spending c) Responsible money management d) Avoidance of financial decisions	U	1	
13	A positive financial attitude is most likely to result in: a) Higher interest in credit card use b) Long-term savings and investment plans c) Increased financial risk-taking d) No impact on financial behavior	An	3	
14	Which of the following is NOT a financial product? a) Life insurance b) Real estate c) Equity shares d) Health insurance	An	2	
15	What is effective interest rate? a) Interest rate without compounding b)Nominal interest rate on an annual basis. c)Annual interest rate accounting for compounding periods. d) Interest rate applied only to loans	U	2	

16	Which of the following best describes compound interest? a) Interest calculated only on the initial principal b) Interest calculated on both the initial principal and the accumulated interest c)Interest that decreases over time d) Interest that only applies to loans	U	2	
17	How does financial behavior affect personal finance? a) It does not influence personal finance b) Positive financial behavior leads to better savings and wealth accumulation c) Negative financial behavior always leads to higher returns d) Financial behavior is irrelevant to investment success	An	3	
18	What is the key difference between money market and capital market products? a) Money market products are long-term, capital market products are short-term b) Money market products have low risk, capital market products have higher risk c) Money market products deal with stocks, capital market deals with bonds d) There is no difference	An	2	
19	KYC stands for a) Know Your Customer b) Known Yield Cash c) Keen Yield Circular d) Know Your Customs	K	5	
20	How does a rise in interest rates affect savings? a) Increases the value of money in savings accounts b) Decreases the value of money in savings accounts c) Has no impact on savings d) Encourages more people to withdraw savings	U	2	
21	Which of these is an essential component of financial literacy? a) Knowledge of investment markets b) Good communication skills c) Understanding budgeting, saving, and credit d) Knowledge of real estate	U	1	
22	Why is numeracy important in financial decision-making? a) It simplifies understanding of legal documents b) It enables calculations like interest, EMI, and comparison of offers c) It eliminates the need for professional help d) It only applies to budgeting	U	3	
Part B- Multiple Choice Questions Answer any **Twenty five** questions- Each question carries **2** marks.				

23	What is the primary difference between financial literacy and financial education? a) Financial literacy focuses on practical knowledge, while financial education focuses on theoretical concepts. b) Financial education is only for students, while financial literacy is for professionals. c) Financial literacy is taught in schools, and financial education is learned at home. d) Financial education involves budgeting only.	U	1	
24	If a person borrows Rs1,000 at a simple interest rate of 5% for 3 years, how much interest will they pay? A) Rs 50 B) Rs 150 C) Rs 200 D) Rs 250	Ap	3	
25	Which of the following best describes compound interest? A) Interest calculated only on the initial principal B) Interest calculated on both the initial principal and the accumulated interest C) Interest that decreases over time D) Interest that only applies to loans	U	3	
26	How does inflation affect purchasing power? A) Increases the value of money B) Reduces the purchasing power of money C) Does not impact purchasing power D) Increases the amount of goods money can buy	An	3	
27	What is the role of Fintech in modern financial systems? A) Only provides physical banking services B) Uses technology to improve and automate financial services C) Focuses only on stock market investments D) Replaces traditional financial institutions	An	2	
28	What is one major advantage of systematic investment plans (SIPs)? A) High returns in a short period B) Requires large initial investments C) Encourages disciplined, long-term investing D) No risk involved	U	2	
29	**Assertion (A)**: Compound interest grows faster than simple interest over time. **Reason (R)**: Compound interest takes into account previously earned interest when calculating future interest. A) Both A and R are true, and R is the correct explanation of A. B) Both A and R are true, but R is not the correct explanation of A. C) A is true, but R is false. D) A is false, but R is true.	An	3	

<table>
<tr><td>30</td><td>Match the following interest rate concepts with their correct descriptions:

<table><tr><td>A) Simple Interest</td><td>1) Interest calculated on both the initial principal and accumulated interest.</td></tr><tr><td>B) Compound Interest</td><td>2) Interest calculated only on the initial principal</td></tr><tr><td>C) Effective Interest Rate</td><td>3) The actual interest rate paid or earned, considering compounding.</td></tr><tr><td>D) Nominal Interest Rate</td><td>4) The stated interest rate without adjusting for compounding.</td></tr></table>
Options:
A) A-2, B-1, C-3, D-4
B) A-1, B-2, C-4, D-3
C) A-2, B-3, C-4, D-1
D) A-4, B-1, C-3, D-2</td><td>An</td><td>3</td><td></td></tr>
<tr><td>31</td><td>Assertion (A): Parents play a significant role in shaping children's financial behavior.
Reason (R): Parents are a key agent of financial socialization and influence how children view money.
A) Both A and R are true, and R is the correct explanation of A.
B) Both A and R are true, but R is not the correct explanation of A.
C) A is true, but R is false.
D) A is false, but R is true.</td><td>An</td><td>1</td><td></td></tr>
<tr><td>32</td><td>Assertion (A): Financial literacy improves an individual’s financial decision-making ability.
Reason (R): Financial literacy provides individuals with the necessary knowledge and skills to understand financial concepts and products.
A) Both A and R are true, and R is the correct explanation of A.
B) Both A and R are true, but R is not the correct explanation of A.
C) A is true, but R is false.
D) A is false, but R is true.</td><td>An</td><td>1</td><td></td></tr>
<tr><td>33</td><td>List out the impact of inertia in investment:
1.Emotional Decision-Making
2.Emotional Stress
3. Suboptimal Portfolio Performance
4. Inefficient Capital Allocation
a) i)Option 1,2& 3
b) 2,3 & 4 only
c) Option 2& 3 only
d) Option 1 only</td><td>An</td><td>4</td><td></td></tr>
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<tr><td>34</td><td>Match the following financial products with their features:

<table><tr><td>A) Money Market Products</td><td>1) Short-term, low-risk investments with high liquidity.</td></tr><tr><td>B) Capital Market Products</td><td>2) Long-term investments, often with higher risk and return.</td></tr><tr><td>C) Life Insurance</td><td>3) Provides financial protection to dependents in case of death.</td></tr><tr><td>D) Health Insurance</td><td>4) Covers medical expenses and health-related risks.</td></tr></table>
Options:
A) A-1, B-2, C-3, D-4
B) A-2, B-1, C-4, D-3
C) A-3, B-4, C-1, D-2
D) A-4, B-2, C-1, D-3</td><td>An</td><td>2</td><td></td></tr>
<tr><td>35</td><td>Assertion (A): Simple interest provides a higher return than compound interest over the same period.
Reason (R): Compound interest is calculated on both the initial principal and previously earned interest, while simple interest is only calculated on the initial principal.
A) Both A and R are true, and R is the correct explanation of A.
B) Both A and R are true, but R is not the correct explanation of A.
C) A is true, but R is false.
D) A is false, but R is true.</td><td>An</td><td>3</td><td></td></tr>
<tr><td>36</td><td>Panic selling is influenced by
1) Fear of loss
2) Herd Behaviour
3) Fundamental Analysis
4) Strategies
a) Only Option 1& 2
b) Only Option 1,2 & 3
c) Only Option 1& 3
d) All of the above</td><td>U</td><td>4</td><td></td></tr>
<tr><td>37</td><td>Match the Saving Strategies with Their Descriptions:
<table><tr><td>1) Emergency Fund</td><td>a. Saving automatically a portion of income regularly</td></tr><tr><td>2) High-Interest Savings Account</td><td>b. Fund reserved for unexpected financial crises</td></tr><tr><td>3) . Automatic Savings</td><td>c. Maximizes return on savings while keeping liquidity</td></tr><tr><td>4) . Retirement Fund</td><td>1) d. Long-term savings for post-employment years</td></tr></table>a) 1 - b, 2 - a, 3-c, 4-d
b) 1 - b, 2 - c, 3 – a, 4-d
c) 1 - c, 2 - a, 3 – d, 4-b
d) 1 - c, 2 - a, 3 – b, 4-d</td><td>An</td><td>1</td><td></td></tr>
</table>

38	Compute future value of Rs. 25,000 borrowed at 8 % for 2 years under (i) simple interest method and (ii) compounding method a) 4000 & 4160 b) 25160 & 29160 c) 5000 & 5160 d) 29000 & 2160	A	3	
39	How can you test the adequacy of your insurance coverage? a) By checking if the coverage exceeds your assets b) By calculating if the coverage amount can cover your financial obligations and future needs c) By ensuring the policy is more expensive than others d) By looking at past insurance claims	An	2	
40	Family financial socialisation includes : a) Only explicit financial teaching b) Both explicit and implicit financial teaching c) Only implicit financial teaching d) Financial teachings from peers	U	1	
41	If inflation is 3% per year, what will be the approximate value of Rs 100 in terms of purchasing power after one year? a) Rs 100 b) Rs 97 c) Rs 103 d) Rs 103.03	A	3	
42	The features of current account are i. Zero interest rate ii. Over draft facility iii. Used to handle daily transactions iv. Opened as per companies act 2013 a) i,ii,iii and iv b) ii,iii and iv c) i,ii and iii d) i and iv	An	5	
43	Financial literacy enables individuals to evaluate the _____ and _____ of different financial products before making a decision. a)Risk, return b)Cost, return c)Value, loss d)Profitability, safety	U	1	
44	What is a real asset in finance? a) A short-term loan b) A physical, tangible asset like real estate or gold c) A virtual currency d) A digital stock	U	2	
45	Which of the following is an example of a capital market instrument? a) Treasury bills b) Corporate bonds c) Savings account d) Certificate of deposit	U	2	

46	Identify the correct statement(s) relating to motor insurance which you will be highlighting in an awareness campaign: i. Provides a loan for buying a new vehicle ii. Reduces tax burden iii. Protects against financial loss due to accidents or theft iv. Covers both third-party liability and own vehicle damage a) iii and iv are correct b) i and iv are correct c) i,ii and iii are correct d) i and ii are correct	U	5	
47	What is a major difference between insurance and investment? a) Insurance provides risk coverage, while investment aims for returns b) Insurance only covers health risks c) Investment is always risk-free d) Insurance is not a financial product	An	2	
48	Which of the following is a feature of money market products? a) Short-term investments with high liquidity b) Long-term investments with high returns c) High-risk, high-reward investments d) Medium-risk, medium-reward investments	U	2	
49	Which of the following is required to calculate an EMI for a loan? a) Loan amount, interest rate, and loan tenure b) Loan amount, interest rate, and the borrower's income c) Loan amount and the inflation rate d) Loan amount and investment returns	A	3	